DNL — discussion document

Cross-scenario valuation: framework view, key assumptions, points for challenge

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Why this document

I've been building a scenario-based equity valuation framework and DNL is the first worked example. Now that I've landed on a position I trust, I'd like to compare it to yours — and specifically to localise where we diverge, not just to compare conclusions. Per the calibration discipline I've been using (drawn from §15.1 of my framework spec), disagreement on conclusion that gets specifically located to a single assumption is more useful than either of us being individually right.

This document sets out the analytical flow that gets me to a per-share view for DNL across six scenarios, the key assumptions driving each step, and a list of explicit questions where I'd value your reaction. It's deliberately tighter than a full briefing pack — about five pages — and structured so you can disagree by pointing at a specific line rather than reframing the whole thing.

Headline conclusion

Scenario	Per share	vs market	Driver
Orderly Convergence	AUD 4.16	+15%	Mining capex healthy; modest margin lift
Muddle Through (central)	**AUD 3.59**	**-0.5%**	**Status-quo extension; transformation vs gas roll-off**
AI Productivity Lag	AUD 3.48	-3.5%	Modest SG&A benefit; otherwise neutral
Fragmentation	AUD 2.63	-27%	Bloc-aligned trade exposure; supply chains
Disorderly Climate	AUD 1.44	-60%	Coal-customer attrition + carbon costs + capex
Stagflation Persists	AUD 1.28	-65%	Input-cost pass-through fails; capex slows

Market reference (21 May 2026): AUD 3.61. Anchored to H1 FY26 results (31 Mar 2026); valuation date 25 May 2026.

Three observations

1. Central case sits essentially at market. The framework's value-add is not in disagreeing on the central case but in the explicit scenario distribution around it. Worth flagging because it's the opposite of where I started — the central case sat 30% below market two months ago; the gap closed via methodology refinement (single-WACC discipline, world-index beta, structural overlays), not via a more bullish view.
2. Negative asymmetry is structural, ratio 4.0×. Stagflation drops AUD 2.31/share below Muddle Through; Orderly only adds AUD 0.57 above. Intrinsic to cyclical-industrials with elevated leverage. The framework deliberately exposes this rather than collapsing to a probability-weighted point estimate.
3. The two most consequential firm-specific variables: the US gas-contract roll-off (2028-2030 window, captured as a -50/-100/-150bps cumulative structural-headwind overlay) and the supplier-power-blocks-cost-pass-through dynamic under Stagflation (-3.5pp margin compression). Both routinely missed by conventional Australian sell-side DCFs.

1. Flow of logic

The framework is a three-step translation from world scenarios to company-specific per-share outcomes. Each step has explicit translation rules; nothing is a black box.

Step 1 — World scenarios

Six scenarios selected via the May 2026 workshop, following a boundary-cases-plus-one-interior convention. Muddle Through is the interior most-likely; the other five are boundary cases spanning the plausible range across macro, geopolitical, climate, and technology dimensions.

Each scenario carries a macro_baseline block specifying DM real GDP, inflation, regional growth, gas prices, mining production growth. These are the scenario's central macro views; they're triangulated against published institutional scenarios (IMF, OECD, World Bank, IEA, NGFS) for sanity but not anchored to any single one.

Critically: the framework's canonical output is the comparative view across all six. I do not produce a probability-weighted blended number. Each scenario stands on its own; the asymmetry pattern is the analytical product.

Step 2 — Industry archetype (Porter Five Forces)

Industrial explosives at the industry level: mature oligopoly; top 3 (Orica, DNL, MAXAM) hold ~65% of global market. Customer demand structurally tied to mineral-extraction volumes — predominantly open-cut mining of iron ore, coal, copper, gold, base metals, and transition minerals. Demand cyclicality follows mining capex cycles rather than commodity prices directly; capex decisions lag prices by 12-24 months.

Industry-level Five Forces ratings drive the impact-matrix translation rules for how each scenario flows into industry economics. The bindings:

- Buyer power: HIGH (binding). Mining-customer concentration; backward-integration credibility; bulk-ANFO price sensitivity.
- Supplier power: MODERATE. Ammonia and gas regionalised; long-term contracts shield producers; spot exposure bears it. Interacts with buyer power on pass-through.
- Threat of new entrants: LOW. Regulatory licensing; capex billions of dollars; on-site infrastructure switching costs.
- Threat of substitutes: LOW. Mechanical excavation uneconomic at scale; intra-industry tech sub is rivalry not substitution.
- Rivalry: MODERATE. Concentrated; long-term contracts dampen day-to-day competition; periodic contract-renewal events drive intensity.

The buyer × supplier interaction is the binding constraint: under sustained input-cost inflation, mining-customer push-back blocks full pass-through. This is the mechanism that compresses margin in Stagflation and Disorderly Climate.

Step 3 — Company position (Five Forces spine)

This is the step where I've recently tightened my methodology. Rather than a catch-all 'company offset,' Step 3 is now organised force-by-force: for each Five Forces element, what is the industry rating, how does DNL differ from the industry average, what is the specific mechanism, what is the quantified delta, and where is it captured in the model (to prevent double-counting with overlays).

For DNL the structured decomposition gives a net growth offset of −25bps and a margin overlay (US gas contracts) that erodes over 2028-2030. The substantive numbers are on the next page.

2. DNL company position decomposed by Five Forces

Force	Industry rating	DNL differential	Mechanism	Δ
Buyer power	HIGH (binding)	At average	Same mining-major customer mix as Orica	0
Supplier power	MODERATE	LOWER (favourable)	Long-term US gas contracts insulate ~70% of US gas through 2028	+200bps margin now → 0 by FY31
New entrants	LOW	LOWER (favourable in EM)	DNL is itself the new entrant in LATAM/Africa via DNEL ramp	+15bps growth
Substitutes	LOW	At average	Intra-industry tech sub affects all players similarly	0
Rivalry	MODERATE	HIGHER (unfavourable)	DNL #2 vs Orica #1; scale + tech (electronic detonators) lead in mature markets	−30bps growth
Rivalry (mix sub)	—	Unfavourable	More bulk-ANFO weighted; less electronic detonator exposure	−10bps growth
NET growth offset				**−25bps**

The supplier-power favourable position manifests on the margin side via a structural-headwind overlay (gas-contract roll-off); the rivalry and new-entrants offsets manifest on the growth side via the chain.

3. Key DNL calibration anchors

- Base year (FY26 continuing ops): revenue AUD 3,400m; EBIT margin 14.1% (= AUD 480m guidance midpoint / AUD 3,400m revenue; corporate already in segment numbers per slides 27/28).
- Transformation margin glide: +60/+180/+200bps Y1-Y3 cumulative. Y1 reconciles to FY26 exit run rate AUD 495-525m; Y2 reaches AUD 600m FY28 ambition.
- Gas-contract roll-off overlay: -50/-100/-150bps cumulative Y3/Y4/Y5. Captures 2028-2030 explicitly rather than deferring to terminal state.
- Tax glide: effective 22.5% (Y1, FY26 guidance midpoint) linearly to blended statutory 27.5% (Y5/terminal). Blended statutory = jurisdictional weights x rates (US 26% at 55%, AU 30% at 35%, other 27% at 10%). Single-rate consistency for operating tax / debt-tax-shield / Hamada.
- Shares: 1,770m at 31 Mar 2026 (anchor). Pair-anchored to net debt; no buyback projection.
- Equity bridge: dividend AUD 81m + Phosphate Hill ARO net AUD 44m + inventory AUD 80m + Geelong AUD 35m + Gibson Island AUD 97m + transaction costs AUD 11m + restructure AUD 12m. Less probability-weighted receivables: Perdaman AUD 73m, IPF Distribution AUD 106m, Phosphate Hill contingent AUD 30m. Source: slide 29.

4. Cost of capital build

Component	Value	Source / convention
Risk-free rate (Rf)	4.30%	10Y on-the-run Commonwealth of Australia government bond yield (Bloomberg GACGB10), refreshed at valuation date
Equity risk premium (ERP)	5.00%	Damodaran-style mature-Australia ERP (between implied global mid-point ~4.6% and historical ~5.5%)
Beta (re-levered)	0.95	World-index basis (AUD-MSCI World), Hamada re-levered with blended statutory 27.5% and D/E 0.197. World index because DNL has >30% non-Aus revenue. ASX200-based beta would be ~1.05-1.10 (sensitivity)
Cost of equity (Re)	**9.05%**	**Rf + β × ERP**
Cost of debt, pre-tax	6.00%	AUD BBB spread ~170bps over 10Y sovereign (DNL credit rating: BBB / Baa2)
Tax rate (consistency)	27.5%	Blended statutory (per Tax Glide); same rate used for debt-tax-shield and Hamada re-levering — single-rate consistency principle
Cost of debt, after-tax	**4.35%**	**Rd × (1 − 0.275)**
E/V (market value)	83.5%	AUD 6,390m equity / AUD 7,651m EV
D/V	16.5%	AUD 1,261m net debt / AUD 7,651m EV
Applied WACC	**8.28%**	**Constant across all six scenarios — single-WACC discipline (risk priced in cash flows, not double-counted via discount rate)**

5. Valuation mechanics

- Single WACC across scenarios. Each scenario already prices its risk through the cash-flow path; using a higher discount rate in stress scenarios would double-count. The marginal investor's required return is set at the valuation date by today's market conditions, not conditional on which future state realises.
- Valuation date 25 May 2026, anchor date 31 March 2026 (H1 FY26). Period A walk-forward of net debt from anchor to valuation date using H1 run-rate estimates (AUD 500m underlying OCF excluding TWC unwind, AUD 256m capex). No buyback projection — on-market buyback at fair value is value-neutral.
- Stub period Y1 (25 May to 30 Sep 2026 = 128 days) treated as own DCF line. Mid-period discounting from valuation date onward. Terminal value computed at end of Year 5 (FY31) via Gordon growth; PV-discounted back to valuation date.
- Equity bridge: walks reported net debt at anchor + Period A walk + structured adjustments (declared dividend, ARO commitments, restructure cash cost, divestment receivables probability-weighted) to equity value, divided by share count at anchor date.

6. Per-scenario impact (drivers)

Scenario	Revenue growth	Y5 margin	Terminal g	Per share	Driver
Muddle Through	6.2%	14.6%	2.50%	AUD 3.59	Status-quo extension
Orderly Convergence	7.4%	15.1%	2.75%	AUD 4.16	Strong mining demand; rates supportive
AI Productivity Lag	5.5%	15.1%	2.25%	AUD 3.48	Mild productivity SG&A benefit
Fragmentation	6.3%	11.6%	2.25%	AUD 2.63	Bloc trade frictions; margin compression
Disorderly Climate	7.6%	11.6%	1.75%	AUD 1.44	Carbon flow-through; capex demands
Stagflation Persists	5.5%	7.1%	2.25%	AUD 1.28	Pass-through fails; capex slows

The asymmetry observation

Upside (Orderly − MT): +AUD 0.57. Worst downside (MT − Stagflation): −AUD 2.31. Ratio 4.05×. The framework's distinguishing analytical claim is that this asymmetry is structural to DNL's profile (cyclical industrial, elevated leverage, supplier-power-blocks-pass-through dynamic, coal-customer terminal-state exposure) and that conventional analyses systematically understate it because they (a) use scenario-conditional WACCs that smooth the cash-flow asymmetry, (b) assume input costs pass through, and (c) extrapolate static terminal ROIC.

Three transmission channels that drive most of DNL's scenario exposure

- Input-cost pass-through under sustained inflation (supplier × buyer interaction). The §7.4 archetype's supplier-power moderate rating means mining-customer push-back blocks full pass-through. Binding under Stagflation; also active under Disorderly Climate via carbon-cost flow-through.
- Geographic / bloc-alignment exposure (new entrants / regulatory). 55% US + 35% Australia: both sit in the US-aligned bloc. Under Fragmentation, the US-aligned bloc is the slower-growing one, and DNL's cross-bloc ammonia and ammonium-nitrate flows are regulatorily sensitive.
- Terminal-state coal-customer attrition (buyer power, long horizon). Coal mining ~35% of customer mix (~20% thermal, ~15-20% met). Under Disorderly Climate, the customer base shifts faster than a standard fade period assumes; captured as a -75bps terminal-growth delta + defended-exception terminal ROIC per §10.6 rule 2.

7. Questions for you

I value your view most where you can localise disagreement to a specific assumption or step. Per the §15.1 calibration discipline I use: divergence localisation > conclusion comparison. So these are the lines I'd most like you to push on. Don't feel obliged to address all — pick whichever feel weakest.

On the central case

4. Base EBIT margin. I used 14.1% (Group, FY26) from management's AUD 480m guidance midpoint at AUD 3,400m revenue. Do you think the H2-implied step up of +14% on H1 EBIT is achievable, or is management talking the book?
5. Transformation glide. I have +60/+180/+200bps Y1-Y3 cumulative to align with the FY26 exit run rate AUD 495-525m and FY28 ambition AUD 600m. Do you trust management's transformation programme delivery (currently 65-75% of the AUD 300m total uplift by FY26 exit per slide 28), or do you apply a haircut?
6. Gas-contract roll-off magnitude. I have -50/-100/-150bps cumulative Y3/Y4/Y5 reflecting the 2028-2030 contract roll-off. This is a judgement on the gap between contracted gas prices and forward spot — happy to share my reasoning if you want to push, but if you have a different number this is one of the most consequential assumptions.
7. Tax glide endpoint. I glide effective 22.5% (FY26 guidance) to blended statutory 27.5% (jurisdictional mix weighted) over the 5-year explicit horizon. Do you accept that the gap closes (most of the gap is timing / R&D credits / JV income, which I treat as transient) or do you keep effective rate flat into perpetuity?
8. Beta convention. I use 0.95 on a world-index basis. ASX200-derived beta would land closer to 1.05-1.10. Which would you use for a company with 55% US revenue?

On the scenarios

9. Stagflation pass-through assumption. I assume the supplier-power moderate rating blocks full input-cost pass-through under sustained inflation, leading to -3.5pp gross margin + -3.5pp input-cost pass-through = -7pp combined margin hit. Conventional DCFs typically assume pass-through works. Where do you land?
10. Disorderly Climate terminal state. I apply a defended-exception terminal-ROIC negative-moderate adjustment (per the framework's §10.6 rule 2) reflecting accelerated coal-customer attrition; terminal growth -75bps. Do you treat coal-customer attrition in terminal state or assume the mining customer base recomposes quickly enough on transition minerals?
11. Fragmentation downside magnitude. I have -27% vs Muddle Through driven by supply-chain duplication and country-risk-premium widening (in narrative; the framework keeps WACC constant, so it's all in cash flows: gross margin -1.5pp + input-cost pass-through -1.5pp + price-mix -1.5%). Do you see this as too aggressive or too benign?

On methodology calls

12. Single-WACC discipline. I hold WACC constant across all six scenarios and price the scenario risk entirely in the cash flows. The argument: beta already captures systematic risk across the conditional distribution; a higher discount rate in a stress scenario double-counts. Do you accept the no-double-counting argument, or do you prefer scenario-conditional WACCs?
13. Per-entity functional currency. I treat the Americas subsidiary as USD-functional (per IAS 21 / AASB 121) but our DCF runs in AUD for Phase 3.5 simplicity. Most published sell-side DCFs collapse to AUD because the reporting currency is AUD. Do you think the FX-translation noise materially affects your conclusion?
14. Asymmetry framing. I present the comparative scenario range rather than a probability-weighted point estimate. Per my framework: the comparative output IS the analytical product. Do you find a point estimate more useful, or does the comparative range help your thinking?

What would update my view

Per the §15.1 discipline: if you disagree on conclusion and we localise the disagreement to a specific assumption that one of us can support with stronger evidence, I update. If we agree on conclusion for different reasons, that's a strong signal the framework is converging on the right answer through a different route. If we agree on conclusion for the same reasons, that's a weak signal because both of us may be anchored to the same starting frame. So the most useful outcome of this discussion is divergence + localisation.

Happy to share the underlying workbooks (Muddle Through full mechanics; cross-scenario comparison) if useful for following any specific number through the chain.